

Enterprise planning successor v2

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Owner: Sable Harbor controller and treasury team (synthetic)

State: CONDITIONAL_FORECAST / SYNTHETIC_RECONSTRUCTION

Record ID: SH-PLAN-ENTERPRISE-002. Prepared by the synthetic Sable Harbor controller and treasury team; reconstructed September 6, 2026. Available at September 6, 2026, 00:00 America/Los_Angeles. This is a public synthetic management model. The 2026 reconstruction combines a preserved calibration and management forecast; 2027–2031 results are conditional forecasts, never realized future results or committed financing.

The executable successor combines the accepted industrial 2026 case with the retained legacy operating business, then projects all three scenarios through December 2031. It produces balanced legal books, reciprocal ownership and treasury entries, explicit consolidation eliminations, monthly and annual statements, unit extracts, and finite funding shortfalls. An accounting validation pass establishes internal arithmetic and declared-source consistency; it does not establish commercial feasibility, sufficient liquidity, executed funding, tax eligibility, or independently observed company results.

Governed legacy execution and replacement

`Legacy_adapter.py` creates a fresh temporary SQLite database, runs all Alembic migrations, executes the existing standard/base engine with seed 20260831, records and completes its governed generation run, selects that run's explicit included-run context, and invokes the existing financial integrity controls. No shared or production database is opened. The database is deleted after extracting selected posted business rows. No raw database is included in the successor package.

Only SHI's PRIMARY_USD book is retained. Every legacy RWH, ARU, BS&T and consolidation entry is removed from this successor's inputs, including associated legacy elimination entries. The accepted industrial model supplies those scopes in full. The row-level `legacy_replacement_bridge.csv` records RETAIN_CORE or REMOVE_SUPERSEDED_INDUSTRIAL_OR_ELIMINATION for every selected legacy row. Legacy account codes are prefixed LEG_, except the shared cash code 1000, to prevent incompatible account definitions from colliding. Unrelated operating lines remain segments within SHI; an operating-unit export does not invent a legal subsidiary.

The legacy CoreCo envelope remains synthetic and partly top-down. In particular, the retained \$30 million goodwill balance is explicitly an unallocated nonindustrial calibration, not newly evidenced acquisition value. It is neither transferred into industrial goodwill nor amortized as invented industrial tax basis. Projected segment revenue and cash operating expense derive from the retained 2026 monthly envelopes using the declared scenario growth assumptions. The model does not turn those envelopes into independently substantiated actual accounts.

The semantic legacy extract, included run IDs, input-manifest digest, schema revision and validation-control count are recorded in the enterprise identity. Real database execution timestamps are excluded from the semantic extraction; deterministic business content is the claimed reproducibility boundary. The new run ID also hashes the canonical source policy, controlling current industrial sources, planning implementation, and normalized forecast journal content. Existing legacy canon guards and the released source lock remain intact.

Legal ownership and opening bridge

Current legal ownership is SHI (Sable Harbor LLC) → SHIH (Industrial Holdings Inc.) → PS (Pale Sun Inc.) → RWH (Red Wash Holdings LLC), alongside SHIH → ARU (American Resource Utility Inc.) → BS&T. The six legal books are SHI, SHIH, PS, RWH, ARU and BST; ELIM is a consolidation book. Current names and ownership derive from [the](#)

[entity register](#), with accepted balance ownership from [finance.json](#).

The accepted mine contributed capital is carried through RWH, PS and SHIH. The legacy parent omitted reciprocal industrial investment accounts, so an equal additional pre-2026 member-capital reconstruction supports SHI's opening industrial investment. This is an explicitly additional, noncash opening reconstruction. It is not a recovered bank receipt, 2026 revenue, or an assertion that the earlier legacy parent statements already reconciled.

ARU enters the enterprise on January 7, 2026. Its accepted postacquisition opening capital is \$39.3 million: the \$39 million acquisition-equity component plus \$0.3 million debt-issuance funding. The \$0.9 million transaction expense remains in SHIH and requires separate parent cash. The acquired \$2 million cash is acquisition investing inflow; \$48 million stock consideration, including the seller escrow, is external acquisition investing outflow. New debt less refinanced debt and issuance cash equals \$8.7 million financing inflow. The acquisition cash-flow bridge discloses these components, preventing an external purchase from being eliminated as an internal contribution.

For every subsidiary, its parent's investment equals the child's contributed capital. Both balances are explicitly eliminated. Accepted net asset ownership and segment earnings allocate ARU and BS&T. Account 1180 is a reciprocal management treasury balance: it records financing required by the declared asset/cash ownership and earned-profit allocation. It is not revenue, third-party debt or evidence of separately observed bank accounts. Tax balances use actual remaining group balances with the accepted legal ownership ratio; no fixed deferred-tax asset survives a group writeoff. Tax P&L remains in ARU under the accepted management policy. The BS&T retained-earnings and rail-receivable carry are maintained across year boundaries.

Operations, shared services and taxes

The forecast is consumed through its complete monthly aggregate trial balances and source journals. Every annual opening must equal the preceding accepted closing balance with P&L closed to retained earnings. Named logistics service invoices and their receipts retain rail/terminal/trucking ownership. Mine logistics receivables/payables and revenue/expense are eliminated once. PS's platform charge reallocates the accepted \$1.5 million component of existing mine G&A, indexed with the mine cost assumption; it does not create an additional consolidated cost.

Starting January 2027, the declared enterprise support allocation charges ARU \$600,000 and PS \$400,000 annually, increasing 3% annually. Both sides accrue reciprocal receivables/payables and income/expense. Quarterly settlement uses only legal-book cash above the disclosed \$2 million floor; unpaid balances remain visible. Existing Core costs already contain the support activity, so all internal fee income/expense is eliminated from consolidated P&L.

These incremental support charges are book-only management allocations. The model assumes no tax deduction, recipient taxable-income uplift, consolidated federal tax election or new deferred-tax benefit from them.

`enterprise_tax_allocation_bridge.csv` reconciles preallocation income, the book-only charge/revenue and postallocation income, with zero tax change from the allocation. It is not a statutory tax return. SHI's LLC tax classification remains unresolved; no SHI entity income tax is imputed. SHIH acquisition expense and PS management-allocation losses generate no recognized deferred-tax benefit in this bounded model. The industrial forecast's separate conditional tax schedules remain controlling for its tax calculations.

Core opening operating receivables and payables settle in January 2027. Later collections and operating payments use a one-month lag; unsupported changes to that timing fail explicitly. Owned sustaining capital, existing and new depreciation, debt interest and scheduled principal have separate source drivers and cash-flow classes. Paid growth tranches remain construction in progress (1410), using the accepted shared legal ownership ratio. Only full project funding and the conditional in-service date permit a noncash 1410-to-1400 transfer; depreciation begins the following month. Unfunded project amounts never disappear into an operating asset or create early depreciation. New financed industrial leases remain noncash at inception. Paid refinancing issuance costs are financing cash flows; debt-cost amortization is noncash. Legal indirect cash-flow allocation is checked against complete balance changes, with no unexplained financing plug.

Finite funding and unresolved feasibility

The 2026 reconstruction uses an explicitly conditional \$90 million annual member-equity ceiling. For each 2027–2031 year, member-equity ceilings are \$30 million base, \$25 million downside and \$40 million expansion. Of those ceilings,

\$18 million, \$16 million and \$25 million respectively are reserved for the subsidiary envelopes already used by the industrial forecast. Only actual subsidiary draws are posted. Unused reserved capacity is not represented as contributed cash or automatically diverted to Core.

Core can draw only the unreserved remaining annual amount. If cash would breach its floor after that amount, identified operating payments are deferred into CORE_UNPAID; the deferral cannot exceed actual modeled operating payments. No revenue, debt or unlimited equity is invented. Required funding includes carried arrears as well as the current cash-floor deficit. Fresh annual member capacity can therefore fund prior unpaid bills. Only a newly unfunded operating payment increases CORE_UNPAID; old arrears are never posted again. Arrears are repaid only from cash above the floor after actual conditional funding. The funding output preserves both parent and subsidiary gaps. A scenario with unpaid obligations or deferred capital is infeasible under the stated funding, even when the accounting equation and closing cash reconcile. The severe Core downside shortfall must remain visible in any summary of the scenarios.

Output contract and validation

`build(output=..., forecast_result=...)` accepts the forecast's in-memory result. Alternatively, `forecast_output=...` reads its existing `journal.csv`, `trial_balances.csv`, `opening_balances.csv` and `funding.csv` without rerunning it. With neither argument, the forecast and isolated legacy engine execute. An already executed legacy snapshot can be supplied for coordinated builds/tests. The default destination is `industrial/generated/planning/enterprise/`.

Money fields are exact four-decimal USD strings, preserving the legacy engine's `Numeric(20,4)` values. Journals carry debit-positive signed values, account types, legal entity, operating segment and unit, source IDs, cash-flow category, period and availability metadata. Each journal and legal trial balance balances exactly. Monthly cash flow plus the disclosed opening bridge equals the movement in cash. Annual income/cash flow sums twelve months; annual balance sheets take December closing balances.

Outputs include enterprise journals and monthly/annual statements; legal monthly trial balances; unit monthly trial balances and monthly/annual statements; funding, tax-allocation and acquisition-cash-flow bridges; the legacy replacement bridge; and source/run identity in `summary.json`. The unit extracts partition the same journal rows. `UNIT_CLEARING` balances each operating-unit view and sums to zero by account across all units. Unit statements classify signed reporting and treasury clearing within net unit assets, allowing every displayed statement line to aggregate exactly to consolidation. External current-tax receivables and payables remain gross by legal taxpayer, including in consolidation; no right of tax offset is inferred. This net management presentation is not a separate company's statutory balance sheet.

Validation independently recomputes journal balances, legal monthly balances, reciprocal investment/capital and receivables/payables, exact unit-to-consolidation totals, cash-flow continuity, funding ceilings, forecast opening continuity, acquisition financing classification and reproducibility. The preserved 2026 participant corpus and legacy canon source lock remain separate checks; success in this successor never permits changing their released bytes.